25STCV10617 25STCV10617

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Case Number: 25STCV10617 Hearing Date: June 24, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion to Vacate

Dismissal and Enter Judgment

The Motion to Vacate Dismissal and Enter Judgment filed by

Britecap is denied without prejudice.

BACKGROUND

Plaintiff Britecap Financial, LLC (Britecap) filed this

action against AMS Global Cleaning, Inc. (AMS Global) and Jaime Serrano

(collectively “Defendants”), alleging the nonpayment of a business loan.

Britecap, a licensed finance lender, loaned funds to AMS Global, and Serrano

personally guaranteed the obligation. Britecap alleges that $64,618.36 remains

due and unpaid, with interest from January 10, 2025.

The causes of action are: (1) Common Counts (Open Book

Account); (2) Common Counts (Account Stated); (3) Common Counts (Money Lent);

(4) Breach of Contract; and (5) Breach of Contract on the Personal Guaranty.

The parties resolved the action through a written Stipulation for Entry of Judgment and Installment Payments, and Dismissal of Action (Stipulation), with the Court retaining jurisdiction under Code of Civil Procedure section 664.6.

On March 24, 2026, Britecap filed a Motion to Vacate the Dismissal and Enter Judgment. Defendants did not file an Opposition.

LEGAL STANDARD

Code of Civil Procedure section 664.6 authorizes the Court, on motion, to enter judgment on the terms of a written settlement signed by the parties to pending litigation. (Code Civ. Proc., § 664.6, subd. (a).) If the parties request it, the Court may retain jurisdiction to enforce the settlement until its terms are performed in full. (Ibid.) In ruling on such a motion, the Court acts as the trier of fact, determining whether the parties entered into a valid and binding settlement and resolving disputes about its terms. (Kohn v. Jaymar-Ruby, Inc. (1994) 23 Cal.App.4th 1530, 1533.)

A stipulated judgment must conform to the parties' agreement and is subject to Civil Code section 1671. A provision fixing the amount payable on breach is unenforceable as a penalty if it bears no reasonable relationship to the actual damages anticipated from the breach. (Civ. Code, § 1671, subd. (b); Greentree Financial Group, Inc. v. Execute Sports, Inc.

(2008) 163 Cal.App.4th 495 (Greentree); Purcell v. Schweitzer (2014) 224 Cal.App.4th 969 (Purcell).)

ANALYSIS

I. Valid and Binding Settlement Agreement

The Court finds, based on the decoration of Plaintiff's counsel and its own October 30, 2025, order dismissing the action pursuant to the Stipulation, that the Stipulation is valid and binding. (Blanda Decl. ¶ 3.)

II. The Notice and Cure Condition Has Not Been Satisfied

Under the Stipulation, no judgment would be entered if Defendants paid a total of $59,000.00 in monthly installments of $1,000.00, due on or before the 15th of each month from September 15, 2025, through July 15, 2030. (Stip. ¶ 2.) Timely payment of the full $59,000.00 would satisfy the settlement, and Britecap would dismiss the action with prejudice. (Stip. ¶ 3.) In the event of an uncured default, Defendants agreed to entry of judgment in the principal sum of $64,618.36, plus costs, less payments made, with interest at 10% from the date of default. (Stip. ¶ 1.)

Britecap's counsel declares that Defendants paid a total of $3,000.00 and made no payment after November 24, 2025. (Blanda Decl. ¶ 5.) Time was of the essence, and Britecap was entitled to declare a default. (Stip. ¶ 13.) The Stipulation requires that, before judgment is entered, Britecap give Defendants seven days' notice of its intention to file the Stipulation and an opportunity to cure. (Stip. ¶ 9.) On March 10, 2026, counsel sent Defendants a letter stating the amount claimed and giving seven days to cure. (Blanda Decl. ¶ 5, Ex. 2.) Defendants did not cure. (Blanda Decl. ¶ 6.)

Paragraph 9 makes pre-filing notice a condition of entry of judgment. It provides that, before entering judgment, Britecap "shall provide Defendants with 7 days' notice of its intention to file the Stipulation to enter Judgment" and an opportunity to cure. (Stip. ¶ 9.) Because section 664.6 enforces a settlement on its own terms, the Court enforces that term as written, and Britecap must show it complied before judgment may be entered.

The March 10, 2026, notice does not satisfy Paragraph 9, because it misstates what Defendants had to pay to cure. Curing a default on an installment agreement means bringing the installments current, which, on this record, is the $3,000.00 in arrears from the missed payments. The notice instead demanded $61,618.36, the entire accelerated balance, as the sum required "in order to cure the default." A cure right that can be satisfied only by paying the full balance is illusory. By demanding the accelerated balance rather than the arrears, the notice denied Defendants the genuine opportunity to cure that Paragraph 9 secures.

Additionally, Paragraph 9 requires notice of Britecap's "intention to file the Stipulation to enter Judgment," and the letter never states that Britecap intends to file the Stipulation or to enter judgment if the default is not cured. Because the misstated cure amount independently defeats compliance, the Court need not decide whether the reference to the Stipulation and the demand to cure within seven days substantially comply with this requirement. The Court therefore finds that the Paragraph 9 condition has not been satisfied and declines to enter judgment. Britecap may renew its motion after serving a notice stating its intention to enter judgment and demanding only the installment arrears required to cure. Of course, the amount required to cure the default will be significantly more than the $3,000 due when Britecap filed its initial motion.

III. The Amount of the Judgment

Britecap requests judgment of $61,618.36, calculated as the $64,618.36 "principal sum" in Paragraph 1 less the $3,000.00 paid. The Stipulation, however, allowed Defendants to satisfy the matter by paying $59,000.00.

"[A] court cannot enter a judgment that

contains an unenforceable liquidated damages clause. ‘[S]ection 664.6 does not allow a court to endorse or enforce a provision in a settlement agreement or stipulation which is illegal, contrary to public policy, or unjust.’ [Citation.] ‘“[A] court cannot validly enter a judgment or order which is void even if the parties agree to it.”’ [Citation.]” (Graylee v. Castro (2020) 52 Cal.App.5th 1107, 1113-1114.)

Where parties settle a disputed claim for less than the amount alleged and agree that, on default, the defendant will owe a larger sum, the increase over the settlement is an unenforceable penalty unless it bears a reasonable relationship to the damages caused by the breach. (Civ. Code, § 1671, subd. (b); Greentree, supra, 163 Cal.App.4th 495; Purcell, supra, 224 Cal.App.4th 969.) In Purcell, a stipulated judgment for the full amount originally claimed, entered after the defendant breached an installment settlement for a lesser sum, was an unenforceable penalty because it bore no reasonable relationship to the loss from a late payment. (Purcell, supra, 224 Cal.App.4th at pp. 973-975.) A different rule applies where the agreement is not a compromise of a disputed claim but a discount for the timely payment of an admitted debt; there, the debtor remains liable for the full amount it admitted owing, and the loss of the discount on default is not a penalty. (Jade Fashion & Co. v. Harkham Industries, Inc. (2014) 229

Cal.App.4th 635, 648-649 (Jade Fashion.) The dispositive question is whether the parties stipulated that Defendants admitted owing the full $64,618.36. (Red & White Distribution, LLC v. Osteroid Enterprises, LLC (2019) 38 Cal.App.5th 582, 589 (Red & White).

Here, the Stipulation does not recite that Defendants admit owing $64,618.36. It provides only that, in the event of an uncured default, Defendants “agree to Judgment … in the principal sum of $64,618.36.” (Stip. ¶ 1.) That is the same type of provision condemned in Purcell, not the admitted debt with a discount structure approved in Jade Fashion. A stipulation to entry of judgment in the amount prayed for is a remedy term, not an admission of liability or of the amount of damages, and so does not convert a compromised claim into an admitted debt. (Vitatech Internat., Inc. v. Sporn (2017) 16 Cal.App.5th 796, 808-810.) Thus, the $59,000.00 that Defendants could pay to resolve the matter constituted a compromise of a disputed claim, and any damages from late payment are already addressed separately under the 10% interest provision. The increase is an unenforceable penalty, and Britecap’s recovery is limited to the settlement sum of $59,000.00, less payments. (Purcell, supra, 224 Cal.App.4th at pp. 973-975.)

Defendants paid $3,000.00 toward the $59,000.00 settlement.

Because the motion is denied on the notice ground, no judgment is entered at this time. Should Britecap renew the motion after serving a compliant notice, the enforceable principal is limited to $56,000.00, together with interest at 10% per annum from the date of default and costs as the Stipulation provides. (Stip. ¶¶ 1, 2.)

CONCLUSION

Britecap's Motion to Vacate Dismissal and Enter Judgment is denied without prejudice. Britecap may renew the motion after serving a compliant notice.